

hottest coin flipper of the moment. In finance, that is the person with a *hot hand*—the mutual fund whose manager just finished a great streak, someone who ended up on the cover of a magazine, or any recent award winner.

If you have not analyzed and understood a manager's methodology, how can you possibly know whether the results are due to skill or chance? We are, to channel Nassim Taleb, all too often *fooled by randomness*.

Successful results in investing could very well be a mere coincidence—a result without any underlying causation on the manager's part. Meaning, the outcome was not the result of process, but rather, dumb luck.

Perhaps that manager's investing style (momentum, value, trend following, etc.) came (temporarily) back in vogue. Maybe their sector became red hot, or the part of the world they focus on is seeing a (temporary) boom. What looks like personal greatness very often is not (and vice versa).

This is not to say you should always ignore bad outcomes. A series of poor results may indicate an issue with process.

Ironically, investors as a group have a tendency to attribute their own successes to the skill and insight they possess; at the same time, any losing investments are blamed on bad luck. That's outcome-focus married to ego, and it's not how you make money in the markets over the long term.

Why are we so easily fooled by random outcomes? The pattern recognition subroutine in your brain evolved to identify threats. That shadow in the tall grass might be a predator waiting to make you its lunch. Hence, generating false positives means that you might be wrong 99 of 100 times, but on the savanna, that 100th event saves your life and passes your genes on to future generations.

We all tend to be outcome-focused, often to the detriment of choosing a good process.

Perhaps an example from outside of the world of finance might be helpful.